

Kanpur Electricity Supply Co. Ltd. & Anr. v. M/s L.M.L. Limited & Ors.

Supreme Court of India · Three-Judge Bench · 7 May 2010 · AIR 2010 SC 1946; (2010) 6 SCC 165 · Special Leave Petition (Civil) No. 33984 of 2009 · **Special leave petition dismissed (load-reduction upheld; effective from 1.5.2006)**

HEADNOTE

Under Clause 4.41 read with the unamended Clause 4.49 of the U.P. Electricity Supply Code, 2005 (as in force when the reduction was decided on 19.4.2006), a consumer with disputed/stayed arrears seeking reduction of contracted load could furnish 'either a Bank Guarantee, or Bonds, or any instruments to the satisfaction of the licensee' of the pending dues; the effective date of reduction is the first day of the month following sanction (Clause 4.41(e)). A licensee that agreed to the reduction and was fully aware of the consumer's status as a Relief Undertaking / Sick Industrial Company (and of the BIFR order to accept instalments and not disconnect) could not defeat the agreed reduction by insisting on a Bank Guarantee and rejecting a Bond, and could not continue billing on the higher load. Annexure 6.5 / Clause 6.16 / Clause 9.5 accord protective treatment to sick/relief undertakings.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.49

Load reduction with disputed arrears — Bond acceptable; effective date; agreed reduction cannot be defeated

QUESTION

Could the licensee refuse to reduce the agreed load, and keep billing on the higher load, by rejecting the Bond and insisting on a Bank Guarantee under Clause 4.49?

HOLDING

No. The unamended Clause 4.49 (in force on 19.4.2006) allowed the consumer to secure disputed arrears by a Bank Guarantee OR a Bond OR any instrument to the licensee's satisfaction; the reduction took effect from the first day of the month after sanction (Clause 4.41(e), i.e. 1.5.2006). Having agreed to the reduction and known of the consumer's Relief-Undertaking/Sick-Company status and the BIFR order, the licensee acted unfairly in rejecting the Bond, insisting on a Bank Guarantee and continuing to bill on the higher (8 MVA) load; the load stood reduced. ¶ 6-10, 24-29

LIMITING FACTS

LML, a Relief Undertaking / Sick Industrial Company, applied to reduce load 8 MVA -> 1.25 MVA (agreed 19.4.2006); KESCO kept billing at 8 MVA and rejected LML's Bond, demanding a Bank Guarantee for ~Rs. 10.24 crore arrears; BIFR had directed acceptance of Rs. 5 lakh/month and no coercive disconnection.

HOLDING-UNIT · UP-2005::6.16

Protective treatment of sick industrial companies / relief undertakings

HOLDING

Clauses 4.41 and 4.49 are Rules framed to help industries in difficulty; read with Annexure 6.5 / Clause 6.16 (disconnected units seeking revival) and Clause 9.5 (Relief Undertaking regime under s.23), only current dues are realized from a sick/relief undertaking, with past dues recovered in instalments and no coercive disconnection — harmonised with the BIFR/SICA order. ¶ 13, 20, 27

PRINCIPLE TAGS

sick-unit-protective-treatment A licensee must give protective, fair treatment to a Relief Undertaking / Sick Industrial Company (current dues only, arrears in instalments, no coercive disconnection) and cannot defeat an agreed load reduction by legalese; the Supply Code is applied to aid revival. Lead authorities: *Modern Syntax (I) Ltd. v. Debts Recovery Tribunal, Jaipur* [1921960]. ¶ 24-29

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Modern Syntax (I) Ltd. v. Debts Recovery Tribunal, Jaipur</i> AIR 2001 Raj 170 [1921960] Rajasthan High Court	The provisions of a Relief Undertaking Act, being meant to sub-serve public interest and prevent unemployment, are to be given a liberal interpretation.	Relied on (by the respondent) for a liberal, revival-oriented reading of the relief regime. ¶ 18	Respondent	Relied on
<i>Doburg Lager Breweries Pvt. Ltd. v. Dhariwal Bottle Trading Co.</i> (1986) 2 SCC 382 Supreme Court	A Relief Undertaking Act sub-serves the public interest and prevention of unemployment, so its provisions are liberally interpreted.	Referred (as the basis of Modern Syntax). ¶ 18	Respondent	Referred

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